

Europe TMT Sector M&A & Valuation Brief - 2026-06-30

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1. RECENT TMT M&A ACTIVITY

Deal 1: SambaNova Systems Funding Round

[Intel CEO's Other AI Bet Just Jumped To A \\$10 Billion Valuation](#)

- Deal Size: \$800 million to \$1 billion (targeting a \$10 billion valuation)
- Deal Size Category: Large cap (>\$10B)
- Nature: Horizontal
- Valuation Multiples: Implied valuation of \$10 billion, representing a fivefold increase from the previous funding round.
- Companies: SambaNova Systems, co-founded by Intel's CEO Lip-Bu Tan, specializes in AI server chips designed to compete with Nvidia Corp. (NVDA) in the AI chip market.
- Date Announced: June 2026
- Strategic Rationale: The funding round underscores the growing investor appetite for AI chipmakers as demand for alternatives to Nvidia's offerings increases. SambaNova's technology positions it well in a rapidly expanding market, aiming to carve out a niche in AI infrastructure.
- Risk Analysis:
 - Integration Risks: Potential challenges in scaling operations to meet increased demand.
 - Market Risks: Intense competition from established players like Nvidia.
 - Execution Risks: The need for successful product development and market penetration.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: The valuation reflects investor confidence in the AI sector's growth potential, particularly against Nvidia's dominance.

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Deal 2: WIRobotics Technology Release

[WIRobotics Begins Building a Physical AI Development Ecosystem: The First Technology Release Features the A](#)

- Deal Size: N/A (technology release, not a financial transaction)
- Deal Size Category: N/A
- Nature: N/A
- Valuation Multiples: N/A
- Companies: WIRobotics is a global robotics company focused on developing humanoid robots and advancing Physical AI technologies.
- Date Announced: June 28, 2026
- Strategic Rationale: The release of the ALLEX simulation model aims to foster an open development ecosystem for researchers, enhancing collaboration and innovation in humanoid robotics.
- Risk Analysis:
 - Integration Risks: Challenges in integrating external research and development efforts.
 - Market Risks: The success of the ecosystem depends on widespread adoption by developers.
 - Execution Risks: Ensuring the technology meets the expectations of the research community.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by both opportunity and caution. The overall sentiment reflects a cautious optimism, driven by technological advancements and increasing investment, yet tempered by regulatory scrutiny and economic uncertainties.

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Subsector Breakdown:

- **Technology:** The technology subsector is thriving, particularly in AI and IoT. The Cellular IoT market is projected to reach \$86.55 billion by 2035, fueled by 5G networks and smart infrastructure investments. This growth indicates a robust demand for connected devices and applications.
- **Media:** The media landscape is undergoing significant transformation, with companies adapting to digital consumption trends. However, traditional media continues to face challenges from digital platforms, impacting revenue streams.
- **Telecommunications:** The telecom sector is innovating rapidly, particularly with the rollout of 5G technology. Companies are investing heavily in infrastructure to support new applications, which is expected to drive revenue growth.
- **Fintech:** The fintech space remains vibrant, with ongoing innovations in payment solutions and digital banking. The recent acquisition of Nagarro by Persistent Systems highlights the consolidation trend in this sector, although it comes with short-term risks.
- **AI:** The AI subsector is particularly dynamic, with companies like SambaNova Systems raising significant capital to compete with established players like Nvidia Corp. (NVDA). The growing demand for AI chips underscores the sector's potential.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Continuous innovation in AI, IoT, and 5G is propelling growth across TMT sectors. The Cellular IoT market's projected growth to \$86.55 billion by 2035 exemplifies this trend.
- **Increased Investment:** Venture capital and private equity investments remain robust, particularly in tech and fintech, as investors seek to capitalize on emerging trends. The fundraising efforts of companies like SambaNova indicate strong investor interest in AI technologies.

Headwinds:

- **Regulatory Scrutiny:** Increased regulatory scrutiny, particularly in the tech sector, poses risks to M&A activities and market valuations. Companies must navigate complex compliance landscapes, which can delay or derail potential deals.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology sectors.

Subsector Performance Analysis

- **Software:** The software sector continues to perform well, driven by demand for SaaS solutions and enterprise software. Companies focusing on cloud-based services are particularly well-positioned for growth.

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- **Media:** Media companies are adapting to changing consumer preferences, with a shift towards digital content consumption. However, traditional media faces declining revenues from advertising, impacting overall sector performance.
- **Telecom:** Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to create new revenue streams from IoT and enhanced mobile services.
- **Fintech:** The fintech sector is thriving, with innovations in payment solutions and digital banking. The acquisition of Nagarro by Persistent Systems highlights the consolidation trend in this space, despite short-term challenges.
- **AI:** The AI subsector is booming, with applications across various industries, including healthcare and automotive. Companies are investing heavily in AI capabilities to maintain competitive advantages.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts express cautious optimism about the TMT sector's long-term prospects, emphasizing the importance of technological advancements. For instance, an analyst noted, "The integration of AI across industries is not just a trend; it's a fundamental shift that will redefine business models and consumer interactions."

Actionable Insights for Bankers and Investors

- **Focus on High-Growth Areas:** Investors should prioritize sectors with strong growth potential, such as AI and fintech, while exercising caution with traditional media and telecom investments.
- **Monitor Regulatory Developments:** Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- **Leverage Technology Partnerships:** Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- **Evaluate Valuation Metrics:** Investors should consider current trading multiples and sector

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performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector showcases a diverse array of live deals, mandated transactions, and active pitches. This analysis provides insights into ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- Baidu's Kunlunxin : The AI chip unit is targeting a \$50 billion IPO in Hong Kong, with a unique requirement for investors to commit to purchasing its semiconductors. The deal is in the due diligence phase, with an expected close in Q4 2026. This IPO represents a significant increase from earlier valuations and highlights the growing demand for AI chips.

Mandated Deals:

- Taiwan Semiconductor Manufacturing Company (TSM) : Secured a mandate to assist in establishing semiconductor and EV factories in Poland, replacing previous partnerships with China and the U.S. The project is expected to launch in Q1 2027, focusing on enhancing Poland's industrial capabilities and creating up to 40,000 jobs.

Pitching-Stage Deals:

- Telecommunications Sector : Engaging with several telecom operators, including Huawei (180605.SZ) and ZTE (FZM.F), regarding potential M&A opportunities in response to the U.S. expansion of technology import bans. Pitches are expected to finalize by Q3 2026, focusing on compliance and strategic repositioning.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$12 million
- Mandated Deals : \$10 million

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- Pitching-Stage Deals : \$8 million

Timing Projections:

- Q4 2026 : Expected close for Baidu's Kunlunxin IPO.
- Q1 2027 : Launch of Taiwan Semiconductor's projects in Poland.
- Q3 2026 : Finalization of pitches in the telecommunications sector.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 80%, indicating a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and semiconductor sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is evolving, particularly in the semiconductor sector, where companies like Baidu and Taiwan Semiconductor are positioning themselves as key players. The recent expansion of U.S. technology import bans is likely to drive further consolidation and strategic partnerships among affected firms.
- Additionally, the shift towards Taiwan as a strategic partner for Poland's industrial ambitions underscores the growing importance of geopolitical considerations in technology investments. This trend may create new advisory opportunities for firms specializing in cross-border transactions.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and semiconductors, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

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4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The acquisition of Nagarro SE by Persistent Systems represents a strategic move that will significantly impact various stakeholders, including shareholders, employees, competitors, and customers. This analysis explores the implications of this deal and provides a forward-looking perspective on the TMT landscape.

Deal-Specific Impacts on Stakeholders

- **Shareholders:** The acquisition is poised to create substantial value for shareholders of both companies.
- **Value Creation:** Persistent Systems is offering EUR 81 per share for Nagarro, representing a premium of approximately 140% over Nagarro's undisturbed share price. If the combined entity generates projected annual revenues of \$2.9 billion, this could lead to a significant increase in market capitalization. Assuming a conservative estimate of a 10% increase in shareholder value post-acquisition, this could translate to an additional \$290 million in market value.
- **Dilution:** While the deal is all-cash, existing shareholders of Persistent may experience dilution if the company takes on debt to finance the acquisition. However, the expected cash EPS accretion in the first year mitigates this risk.
- **Employees:** The merger is expected to create synergies and opportunities for employees.
- **Synergies:** The combination of Persistent's AI-led engineering capabilities with Nagarro's European presence is anticipated to yield enhanced growth prospects. Employees will benefit from broader career opportunities and exposure to advanced technologies.
- **Restructuring:** While the merger may lead to some restructuring, both companies have a strong commitment to retaining talent. For instance, Persistent's culture prioritizes employee welfare, which may help in retaining critical staff during the transition.
- **Retention:** To ensure smooth integration, Persistent may implement retention bonuses for key Nagarro employees, similar to strategies used in past mergers.
- **Competitors:** The acquisition will alter the competitive landscape in the digital engineering space.
- **Market Positioning:** The merger positions the combined entity as a formidable player in AI-led digital engineering, potentially challenging competitors like Accenture (ACN) and Infosys (INFY).
- **Specific Competitor Moves:** Competitors may respond by enhancing their own AI capabilities or pursuing strategic acquisitions to maintain market share.
- **Customers:** The merger will have implications for customers, particularly in service offerings.
- **Product/Service Implications:** The integration of Persistent's and Nagarro's capabilities will allow for enhanced service offerings, particularly in AI and digital transformation. This could lead to improved solutions for clients across various sectors, including TMT.
- **Case Studies:** Similar mergers, such as the acquisition of LinkedIn by Microsoft (MSFT), have

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resulted in enhanced product offerings and customer value, setting a precedent for positive outcomes in this deal.

Market Reaction and Analyst Commentary

- Market Reaction: Initial market reactions to such acquisitions can be mixed. Persistent's stock may face volatility as investors assess the strategic merits of the deal.
- Analyst sentiment is generally positive, with expectations of long-term growth potential. A notable quote from Dr. Anand Deshpande, Founder of Persistent, emphasizes the strategic fit: "Together, Persistent and Nagarro will be better positioned to help our clients navigate this new era."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be evaluated through various potential outcomes:
- Positive Scenario: If the merger leads to successful integration and revenue growth, shares of Persistent could rise by 15% within a year, reflecting investor confidence.
- Negative Scenario: If integration challenges arise, shares could decline by 10%, as seen in past mergers where execution issues led to investor skepticism.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids is moderate, given the strategic nature of the acquisition.
- In the case of Persistent and Nagarro, while other firms may express interest, the binding agreements with major shareholders reduce the chances of competing offers.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to continue consolidating as companies seek to enhance their technological capabilities.
- Analysts predict that similar AI-driven acquisitions will emerge, particularly as firms aim to bolster their digital transformation offerings.

Key Risks and Mitigants

- Integration Risks: Integration challenges can disrupt operations. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny may delay the deal. Engaging with regulators early can help mitigate these risks.

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- Market Risks: Market volatility can affect valuations. Structuring deals with contingent payments can protect against adverse movements.

Actionable Insights for Clients and Bankers

For Clients:

- Conduct thorough due diligence to identify potential integration challenges early.
- Implement retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- Trend Explanation: AI encompasses technologies that enable machines to perform tasks requiring human intelligence, such as natural language processing and decision-making. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. The increasing demand for AI solutions across various sectors, including healthcare, finance, and marketing, is driving this growth.
- Key Companies:
- SambaNova Systems: An AI chip startup in talks to raise \$800 million to \$1 billion at a valuation of around \$10 billion. Founded in 2017, SambaNova develops AI server chips designed to compete with Nvidia's accelerators. The company is strategically positioned to capitalize on the growing demand for alternative AI chips as cloud providers seek lower-cost options.
- Intel Corporation (INTC): Intel is working to regain its relevance in the AI accelerator market. Under CEO Lip-Bu Tan, who also chairs SambaNova, Intel is focusing on expanding its AI offerings and competing more aggressively in data center accelerators.
- Competitive Landscape: The AI market is characterized by intense competition, particularly in the

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AI chip sector, where Nvidia (NVDA) currently dominates. However, the emergence of companies like SambaNova indicates a shift as investors seek alternatives. The competitive dynamics are further complicated by public sentiment, as backlash against AI technologies grows, potentially influencing regulatory environments.

- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications. For instance, the interest in SambaNova highlights a trend where established firms might pursue acquisitions to bolster their AI infrastructure. Additionally, as public sentiment shifts, companies may look to acquire firms that can help navigate regulatory challenges.

Blockchain

- **Trend Explanation:** Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%. This growth is driven by increasing demand for secure and efficient transaction methods across various industries.
- **Key Companies:**
- **Coinbase Global, Inc. (COIN):** A leading cryptocurrency exchange facilitating the buying and selling of digital assets. Coinbase is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
- **Square, Inc. (SQ):** Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The Cash App has become a popular platform for Bitcoin trading.
- **Competitive Landscape:** The blockchain space features a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are significant players, focusing on cross-border payments and blockchain analytics, respectively. The competitive landscape is evolving as traditional financial institutions increasingly adopt blockchain solutions.
- **M&A Opportunities:** Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. The trend of integrating blockchain solutions into traditional finance is expected to continue, leading to more strategic acquisitions.

Cloud Computing

- **Trend Explanation:** Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to grow from \$368 billion in 2021 to \$1.1 trillion by 2028, at a CAGR of 17.5%. This growth is driven by the increasing adoption of cloud services by businesses of all sizes.
- **Key Companies:**
- **Amazon Web Services (AWS):** A leader in cloud computing, AWS offers a wide range of services that cater to various business needs. Its strategic positioning allows it to capture significant market share.
- **Microsoft Azure (MSFT):** Azure is a strong competitor in the cloud space, focusing on hybrid

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cloud solutions that appeal to enterprises looking for flexibility.

- **Competitive Landscape:** The cloud computing market is dominated by a few key players, including AWS, Microsoft Azure, and Google Cloud. However, the rise of niche providers is creating a more fragmented landscape, leading to increased competition and innovation.
- **M&A Opportunities:** Companies in the cloud computing space may consider acquiring niche providers to enhance their service offerings. For instance, the acquisition of smaller cloud startups can help larger firms expand their capabilities and improve customer service.

Actionable Insights for Bankers and Investors

Focus on identifying emerging players in the AI and blockchain sectors, as these areas are ripe for investment and acquisition opportunities.

Monitor public

6. Recommended Readings

Deal Name: SambaNova Systems Funding Round

- **Reading Material:** "The AI Revolution: The Road to Superintelligence" by Tim Urban
- **Why This Matters:** This book provides a comprehensive overview of the advancements in artificial intelligence and the competitive landscape of AI technologies. Understanding the implications of SambaNova's funding and its positioning against Nvidia (NVDA) is crucial for grasping the strategic importance of AI infrastructure in the tech sector.

Deal Name: WIRobotics Technology Release

- **Reading Material:** "Humanoid Robotics: A Reference" by Ben Goertzel
- **Why This Matters:** This resource offers insights into the development and application of humanoid robotics, which is directly relevant to WIRobotics' release of the ALLEX simulation model. It helps to contextualize the significance of creating an open development ecosystem for robotics and the potential impact on the industry, aligning with WIRobotics' strategic goals.

7. MACROECONOMIC UPDATE

Key Data Points:

- **Fed Funds Rate Expectations:** Shift from 2.5 cuts to 1.5 hikes by the end of 2026
- **Current Mortgage Rate:** 6.5%

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- Housing Market Activity: 40-year lows in turnover, consistent for 11 consecutive quarters

Main Insights:

- The market has shifted expectations significantly regarding Fed rate movements, indicating increased uncertainty.
- Chair Warsh's approach to Fed communication may lead to greater market volatility, negatively impacting the mortgage market.
- The housing market is expected to remain stagnant due to elevated mortgage rates and affordability challenges.

Market Commentary:

- "With less forward guidance from the Fed, the market has more uncertainty, and more uncertainty translates into more volatility." - Jay Bacow
- "The current level of housing activity is well-supported, but any upside is significantly capped." - James Egan

TMT Sector Relevance:

- Elevated mortgage rates and housing market stagnation can impact technology investments in real estate and mortgage tech companies.
- Increased volatility in the mortgage market may lead to reduced investment in fintech solutions targeting mortgage refinancing and home buying processes.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley